

Amit Choudhary vs Bharti Sharma on 4 January, 2024

IN THE COURT OF METROPOLITAN MAGISTRATE (NI
ACT), NORTH-WEST, ROHINI, DELHI
Presided by- Ms. Shivangi Vyas

CNR No. DLNW02-005883-2014
CC No. 17608/2016

Amit Choudhary
S/o Sh. Sarvottam Singh
R/o WP-482, 1st Floor,
Shiv Market, Phase-I,
Ashok Vihar, Delhi-52.

.....Complainant

Versus

Smt. Bharti Sharma
W/o Sh. Vinay Sharma
R/o C-91, 1st Floor, Phase-I,
Ashok Vihar, Delhi-52

.....Accused

JUDGMENT

(1) Offence complained of or proved : 138 N.I. Act (2) Plea of accused : Pleaded not guilty (3) Date of institution of case : 14.10.2014 (4) Date of reserve of order : 18.12.2023 (5) Date of Final Order : 04.01.2024 (6) Final Order : Acquittal BRIEF STATEMENT OF REASONS FOR THE DECISION

1. Vide this judgment, this court shall dispose of the complaint under section 138 of Negotiable Instruments Act CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 1 of 25 (hereinafter referred to as 'NI Act') filed by Sh. Amit Choudhary (hereinafter referred to as 'complainant') against Smt. Bharti Sharma (hereinafter referred to as 'accused').

FACTUAL MATRIX

2. Facts in brief as stated in the complaint are that accused and the complainant had friendly terms and the accused had approached the complainant in month of February 2013, requesting the complainant for a loan of Rs. 2,00,000/- as accused was facing some financial problems. The complainant gave a sum of Rs. 2,00,000/- in cash as friendly loan and the accused assured the complainant to repay the friendly loan within a period of 1.5 years. In discharge of legal liability of repayment of friendly loan, accused issued a cheque bearing no. 268075 dated 10.07.2014 for a sum of Rs 2,00,000/- (Rupees Two Lakh) drawn on Indian Bank, Gurrawala Town, Delhi with the assurance that the same would be honoured upon presentation. The complainant presented the cheque on 11.07.2014 but the same was dishonoured. The complainant apprised the same to the accused and upon request of accused, the complainant again presented the cheque. The cheque was again returned dishonoured with remarks 'Funds Insufficient' vide returning memo dated

28.08.2014. Thereafter, the complainant was constrained to send the legal notice dated 12.09.2014 issued through his counsel calling upon the accused to pay the amount of cheque within a period of 15 days from receipt of legal notice. Despite service of legal notice, no amount was paid to the complainant. Therefore, the present complaint has been filed.

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3. Complainant has tendered his pre-summoning evidence on 10.11.2014 by way of affidavit EX CW1/1 and relied upon the following documents:

- (a) Ex.CW1/A : Original Cheque bearing number 268075 dated 10.07.2014
- (b) Ex.CW1/B : Returning Memo dated 03.07.2014
- (c) Ex.CW1/C : Returning Memo dated 28.08.2014
- (d) Ex.CW1/D : True copy of legal notice dated 12.09.2014
- (e) Ex.CW1/E : Postal Receipts pertaining to notice sent through Registered AD
- (f) Ex.CW1/F : Postal Receipts pertaining to notice sent through Speed Post
- (g) Ex.CW1/G : Copy of internet generated tracking report.

APPEARANCE OF ACCUSED AND PROCEEDINGS

4. Since prima facie offence u/s 138 of Negotiable Instrument Act was made out, the accused was summoned vide order dated 10.11.2014. Accused entered her appearance and notice was served upon the accused for offence punishable u/s 138 NI Act on 07.03.2018, to which she pleaded not guilty and claimed trial.

5. In her plea of defense, accused has submitted that her son Prateek Sharma was one of the members of the committee run by the complainant. The complainant called her and demanded cheque as security and she gave the same as security. The cheque bears her signature however the content of the cheque were not filled by her. She did not receive any legal notice and it bears her former address. She sent a notice to the complainant demanding her cheque and the complainant assured to return the cheque but did not do so. When complainant got to know about the CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 3 of 25 presentation of cheque she again called him. Her son has already returned the amount to the complainant in instalments. The complainant is having the cheque of her son and she has no liability towards the complainant.

COMPLAINANT EVIDENCE

6. The complainant adopted her pre summoning evidence and placed reliance upon the documents EX CW-1/A to CW-1/G. An application under section 145(2) NI Act was moved by the accused seeking permission to cross examine the complainant and the same was allowed by Ld. Predecessor of this court vide order dated 06.08.2018. Complainant was duly cross examined by the Ld. Counsel for accused.

7. In his cross examination, complainant has deposed that he is 10th class passed and cannot speak English but understand English and he was made to understand by his counsel in vernacular what is written in the affidavit and the details mentioned in the affidavit and facts and figure of the cheque are correct. He deposed that he knew accused since long time and she had been coming alongwith her son to take perfume from him as he is dealing in trading business of perfume in the name of M/s A.K. Enterprises and running this business since 2011-12. He stated that he had given the money to the accused in the year 2013 but he does not remember the month, however he had taken the cheque from the accused when he had given the amount to the accused. The cheque in question was not given as security cheque. CW-1 denied the suggestion that the cheque in question was taken as security of committee/kitty or he was supposed to CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 4 of 25 return the cheque in question after the committee/kitty was over. He further deposed that the address written in the memo of parties is his correct postal address and he did not receive any letter or notice issued by the accused to him regarding the return of the cheque. CW-1 further deposed that at present he does not remember the address of the accused but he had sent the notice Ex. CW1/D at the address given by accused to him which was a rental accommodation. The notice was sent through speed post and he had written the same address on the envelope which was given by accused to him. He had signed the notice and same was sent to the post office by his counsel.

8. During cross-examination Ex. CW1/E and Ex. CW1/F were shown to the witness and witness was asked to read the address of the accused on the Ex. CW1/E and Ex. CW1/F to which witness stated that he forgot his spectacles at his home, hence, cannot read the same. CW-1 further submitted that he has not checked the address on the postal receipt and address on the notice and he did not receive any reply of the legal notice Ex. CW1/D from the accused. CW-1 deposed that he does not remember whether he has mentioned regarding the reply of the notice by the accused in his affidavit due to lapse of long time. He deposed that he has two bank accounts i.e. in Axis Bank, Shakti Nagar and ICICI Bank, Branch Model Town. Both the above said account have been shown by him to Income Tax Department. CW-1 deposed that he has not shown the loan amount in question in his ITR. CW-1 denied the suggestion that the cheque in question was a blank signed document when it was CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 5 of 25 received by him and accused had brought the cheque completely filled and it was not filled in front of him. CW-1 further denied the suggestion that the cheque in question was initially a blank signed document which was later filled by him. CW-1 deposed that he has also advanced to other person as well and he has also advanced to the son of the accused namely Sh. Prateek Sharma. CW-1 further deposed that he has also advanced friendly loan to his friends and against them also cases have been pending and the said cases were also U/s 138 NI Act and titled as Amit Choudhary Vs. Harpreet and Amit Chourdary Vs. Sukhpreet and a case against one Manish is also pending. Except that no other cases are pending in any other court against any other person and no case was ever filed against him. CW-1 further deposed that he

has filed a case against on Sh. Deepak Saini which was already got compounded however he cannot tell the amount involved in that case and he cannot tell the amount for which the cases were filed against Harpreet and Sukhpreet. CW-1 further deposed that he has also filed a case against one Sh. Ashok Gupta who has already expired and he has lent friendly loan to all the above said persons and he has no license for money lending as he is not involved in the business of money lending. CW-1 further deposed that he has not shown the amount given by him to the aforesaid persons in his ITR and voluntarily stated that the money has been given by his father. CW-1 further deposed that he cannot exactly tell through which mode the loan was given to the aforesaid persons. CW-1 denied the suggestion that he did not return the cheques of the above mentioned persons after the completion of the committee or that aforesaid cases CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 6 of 25 including the present case are filed just to extort money from the said persons or that son of the accused was having committee with him and when he took the money, he (CW1) took the cheque in question from the accused as a security against the amount taken by the son of the accused. CW-1 admitted that accused was not the member of any committee/kitty. CW-1 denied the suggestion that he presented the cheque in question without informing the accused or that no loan was ever taken by accused from him or that he has filed the present case with malafide intention to extort money from the accused or that accused have no liability against the cheque in question or that he has filed a false case against the accused.

9. No other witness was examined by the complainant and CE was closed vide order dated 18.01.2023.

STATEMENT OF ACCUSED AND DEFENCE EVIDENCE

10. All the incriminating evidence was put to the accused and her statement under section 281 CrPC read with section 313 CrPC was recorded on 19.07.2023. The accused chose to lead DE and examined herself in her defence.

11. Accused examined herself as DW1 in her defence. She deposed that she is an advocate by profession and the complainant is the friend of her son and her son was having a kitty with complainant and one day complainant called her in his office and told her that her son is having kitty with him and as per the procedure when kitty is given a cheque is taken as a security of the kitty/committee. Accordingly, she gave a blank CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 7 of 25 signed cheque to the complainant. After completion of the said kitty/committee, she asked complainant to return the cheque by telephone then she wrote letters to him for the said purpose. The letters dated 24.12.2016 is Ex. DW1/1 (OSR) and postal receipt of the same is Ex. DW1/2 (OSR). The letter dated 27.01.2017(OSR) is Ex. DW1/3(OSR) and the postal receipt of the same is Ex. DW1/4(OSR). The letter/notice dated 07.11.2017 is Ex. DW1/5(OSR) and postal receipt of the same is Ex. DW1/6(OSR). DW-1 further deposed that she did not receive any telephone call or reply of these letters from the complainant. She has not taken any loan from the complainant and she has no liability against the cheque and it is a false case.

12. During cross-examination, DW-1 deposed that the period of kitty was 20 months. She has sent the photocopy of above said three letters. She admitted that she is aware that the notice or letter has

to be sent in original. She denied the suggestion that complainant was not running a kitty/committee and her son was not the member of the said kitty/committee. DW-1 further denied the suggestion that she has falsely created the above said letters to create a false defence in her case after having the information about the issuance of the B/w against her or that she kept the letters with her to create the false defence in her favour. DW-1 deposed during her cross-examination that she has not filed any police complaint regarding refusal of the cheque by the complainant and voluntarily stated that her husband had brain hemorrhage and paralytic attack and she even was not aware that any case has been filed against her and she came to know the CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 8 of 25 same through her brother who is also a lawyer and thereafter she appeared in the court in the present matter. DW-1 denied the suggestion that she has sent the empty envelop through posts to the complainant to create an evidence or that the complainant has not received any notice or that she alongwith her son had taken the friendly loan from the complainant and issued the cheque in question to discharge the said liability. Upon asking a specific question by Ld. counsel for complainant that she has mentioned wrong address on the notice dated 07.11.2017 to which the witness replied, she does not remember. Upon showing Ex. DW1/5 and Ex. DW1/3 and DW-1 admitted that on both the documents, addresses different. DW-1 denied the suggestion that she has created a false defence to grab the money of the complainant or that she is deposing falsely.

13. No other witness was examined by the accused and defence evidence was closed vide order dated 06.12.2023.

FINAL ARGUMENTS

14. Final arguments were advanced by Sh. Sanjeev Bisla, Ld. Counsel for complainant and Sh. Jitender Kumar, Ld. Counsel for accused. Written arguments were also filed on behalf of accused.

15. Ld. Counsel for complainant has argued that complainant has been successful in establishing all the necessary ingredients of offence under section 138 NI Act. The complainant has given friendly loan of Rs 2,00,000/- to the accused and the cheque in question was issued in discharge of the legal liability of repayment of the said loan amount. The complainant has proved CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 9 of 25 all the conditions stipulated under the law through documents Ex CW1/A to CW1/G. On the other hand, accused has failed to rebut the statutory presumption of existence of legal liability in favour of the complainant. It is argued that letters relied upon by the accused in her testimony were clearly written much after the initiation of proceedings and filing of complaint against the accused which depicts that the same have been written only as an afterthought to escape the liability by the accused. No other evidence has been brought on record by the accused to rebut the presumption of existence of legal liability. Therefore, the accused is liable to be convicted.

16. Per Contra, Ld. Counsel for accused has argued that no offence under section 138 NI act is made out against the accused as the necessary ingredients of the said offence could not be established by the complainant. It is argued that accused had no legal liability for payment of any amount to the complainant and the cheque in question was issued only as a security cheque upon the asking and

under the pressure of the complainant when the son of the accused joined the kitty/committee run by the complainant. Ld. Counsel for accused has pointed out that complainant has failed to enumerate the exact date when the loan was advanced by him and there is a contradiction even with regard to the month and year when the loan was purportedly advanced by him. Complainant has failed to place on record any document depicting advancement of loan. The complainant has allegedly given the loan of Rs 2,00,000/- in cash however as per provisions of Income Tax act any loan of more than Rs. 20,000/-

CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 10 of 25 is to be made by way of payee cheque. The complainant has purportedly advanced similar loans to many people and has filed similar complaints against them as the same has been admitted by him in his cross examination without possessing any license for money lending. The complainant has admittedly not shown the loan amount in his ITR. It is argued that accused has successfully rebutted the presumption in favour of the complainant and the complainant has failed to prove its case beyond reasonable doubt.

17. Ld. Counsel for accused has further argued that accused has not received any legal demand notice from the complainant as mandated under law. The address upon the postal receipts Ex CW1/F and Ex CW1/G is not the correct address of the accused. Since the legal demand notice has not been sent upon the correct postal address of the accused, the delivery of notice Ex CW1/D could not be proved by complainant and therefore, no offence is made out against accused. Ld. Counsel for accused has relied upon the case of Praveen Mehta vs Vishal Joshi 2022(4) Civil court cases 435, Bhawna Kathuria Vs. M/S Shivani Traders & Anr. 2018 (3) Civil Court Cases 114, Anita Sharma Vs. Tarun Saini & Anr 2022(4) Civil Court Cases 506 (Punjab and Haryana High Court), Vipul Kumar Gupta vs Vipin Gupta , Hon'ble High court of Delhi, Kulvinder Singh vs Kafeel Ahmad. M.S. Narayan Menon@ Mani vs State of Kerala & Anr. 2006 AIR (SC) 3366, Engineering control; vs. Banday Infratech Pvt. Ltd, Rajaram Vs. Maruthachalam 2023(1) CCC 547(SC) and Basalingappa vs. Mudibasappa.

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18. In rebuttal, Ld. Counsel for complainant has argued that as far as delivery of notice is concerned, the legal demand notice bears the correct address of the accused. Only the postal receipts mention incorrect house number of the accused and even otherwise, the notice was delivered in the same area and neighborhood. Further, the accused has been served summons of the court upon the correct address and failed to make the payment even after service of summons. Therefore, the presumption lies in favor of the complainant that the accused has been duly served. It is further argued that none of the cases cited by the complainant applies to the facts of the present case and are therefore of no avail to the accused.

LEGAL PROVISION

19. Before advertng to scanning the evidence under the lens of the law pertaining to the lis at hand, let us revisit the legal benchmark to be satisfied as enunciated in Section 138 of the Act.

Dishonour of Cheque for insufficiency, etc. of funds in the account: Where any cheque drawn by a person on an account maintained by him with a banker for payment of any amount of money to another person from out of that account for the discharge, in whole or in part, of any debt or other liability, is returned by the bank unpaid, either because of the amount of money standing to the credit of that account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with that bank, such person shall be deemed to have committed an offence and shall, without prejudice to any other provision of this Act, be punished with imprisonment for a term which may extend to two years, or with fine which may extend to CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 12 of 25 twice the amount of the cheque, or with both. Provided that nothing contained in this section shall apply unless--

(a) the cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity, whichever is earlier;

(b) the payee or the holder in due course of the cheque, as the case may be, makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, [within thirty days] of the receipt of information by him from the bank regarding the return of the cheque as unpaid; and

(c) the drawer of such cheque fails to make the payment of the said amount of money to the payee or as the case may be, to the holder in due course of the cheque within fifteen days of the receipt of the said notice.

Explanation.--For the purposes of this section, "debt or other liability" means a legally enforceable debt or other liability.

ANALYSIS

20. The essential ingredients that can be culled out from the statutory provision are:

- i) Person must have drawn a cheque on an account maintained by him in a bank for payment of a certain amount of money to another person from out of that account;
- ii) The cheque should have been issued for the discharge, in whole or in part, of any debt or other liability;
- iii) That cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity whichever is earlier;
- iv) That cheque is returned by the bank unpaid, either because of the amount of money standing to the credit of the account is insufficient to honour the cheque or that it exceeds the amount CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 13 of 25 arranged to be paid from that account by an agreement made with the bank;

v) The payee or the holder in due course of the cheque makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, within 30 days of the receipt of information by him from the bank regarding the return of the cheque as unpaid;

vi) The drawer of such cheque fails to make payment of the said amount of money to the payee or the holder in due course of the cheque within 15 days of the receipt of the said notice.

21. Being cumulative, it goes without saying that it is only when all the aforementioned ingredients are satisfied, the person who had drawn the cheque can be deemed to have committed an offence under Section 138 of the Act.

22. Averting to the facts of the present case, the accused has admitted her signature on the cheque in question and there is no dispute regarding the presentation and dishonour of cheque within the stipulated time period. The accused has stated that she has given blank signed cheque as security and the other particulars are not filed by her. Nevertheless, once the accused has admitted her signatures upon the cheque, whether the remaining particulars were filed by her or some other person does not hold any significance. When the drawer of the cheque who hands over a blank signed cheque, it is assumed that he gives the authority to the holder of the cheque to fill the remaining details upon the cheque. Further, the presentation and dishonour of cheque is established by cheque return memos Ex CW1/B and Ex CW1/C. Therefore, it can be concluded that the CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 14 of 25 complainant has been successful in establishing the issuance of cheque by the accused and presentation and dishonour of the same in bank.

23. As far as the other necessary ingredients of the offence are concerned, the accused has raised dispute regarding the existence of debt and the liability to repay the same as well as the receiving of legal demand notice. Thus, the defence of accused is twofold:

Firstly, the complainant has claimed that the cheque in question was issued as a security cheque and not in discharge of any legal liability for repayment of friendly loan implying absence of any legal liability towards payment of cheque amount and secondly accused has claimed that she has not received any legal demand notice from the complainant.

24. The existence of legal liability for payment of amount of cheque in question is one of the necessary ingredients that has to be established by the complainant. In order to correctly appreciate this ingredient in the light of the evidence placed on record by both the parties, it is necessary to revisit the provision under Section 118 and Section 139 of the Act.

25. Section 118 of the Act inter alia provides the presumptions as to negotiable instruments that until the contrary is proved, the the presumptions shall be made that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted,

endorsed, negotiated or transferred was accepted, endorsed, negotiated or transferred for consideration. Further, section 139 of the Act provides that it shall be presumed, unless the contrary is proved, that the holder CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 15 of 25 of a cheque received the cheque of the nature referred to in Section 138 for the discharge, in whole or in part, of any debt or other liability.

26. It is clear from the conjoint reading of both the provisions that ordinarily in the cheque dishonour cases, what the courts ought to consider is whether the ingredients of the offence enumerated in Section 138 of the Act have been met and if so, whether the accused was able to rebut the statutory presumption contemplated by Section 139 of the Act.

27. It was held by Hon'ble Supreme Court in the case titled as Rangappa v. Sri Mohan (2010) 11 SCC 441 that:

"26. In the light of these extracts, we are in agreement with the respondent claimant that the presumption mandated by Section 139 of the Act does indeed include the existence of a legally enforceable debt or liability. To that extent, the impugned observations in Krishna Janardhan Bhat may not be correct. However, this does not in any way cast doubt on the correctness of the decision in that case since it is based on the specific facts and circumstances therein. As noted in the citations, this is of course in the nature of a rebuttal presumption and it is open to the accused to raise a defence wherein the existence of a legally enforceable debt or liability can be contested. However, there can be no doubt that there is an initial presumption which favours the complainant.

27. Section 139 of the Act is an example of a reverse onus clause that has been included in furtherance of the legislative objective of improving the credibility of negotiable instruments. While Section 138 of the Act specifies a strong criminal remedy in relation to the dishonour of cheques, the rebuttable presumption under Section 139 is a device to prevent undue delay in the course of litigation. However, it must be remembered that the offence made punishable by Section 138 can be CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 16 of 25 better described as a regulatory offence since the bouncing of a cheque is largely in the nature of a civil wrong whose impact is usually confined to the private parties involved in commercial transactions. In such a scenario, the test of proportionality should guide the construction and interpretation of reverse onus clauses and the defendant accused cannot be expected to discharge an unduly high standard of proof.

28. In the absence of compelling justifications, reverse onus clauses usually impose an evidentiary burden and not a persuasive burden. Keeping this in view, it is a settled position that when an accused has to rebut the presumption under Section 139, the standard of proof for doing so is that of "preponderance of probabilities".

Therefore, if the accused is able to raise a probable defence which creates doubts about the existence of a legally enforceable debt or liability, the prosecution can fail. As clarified in the citations, the accused can rely on the materials submitted by the complainant in order to raise such a defence and it is conceivable that in some cases the accused may not need to adduce evidence of his/her own."

28. As can be inferred from the legal position expounded by Hon'ble Supreme Court of India, the standard of proof required to rebut the presumption raised under S.118 and 139 of the Act is only that of 'preponderance of probabilities' and therefore, the accused is required to prove only a probable defence of non- existence of liability and is not required to establish the same beyond reasonable doubt. The accused has to do so by either adducing his own evidence or by punching holes in the case of the complainant.

29. In the facts of the present case, the accused has taken a CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 17 of 25 plea that the cheque was not issued in discharge of a legal liability. Complainant has claimed that the cheque was issued only as a security cheque while the accused has claimed that the cheque was given in discharge of liability for repayment of friendly loan of Rs. 2,00,000/- given by him to the complainant.

30. The accused has cross examined the complainant at length and has put various questions pertaining to the alleged friendly loan given by him to bring forth certain contradictions and omissions in case of complainant which are being enumerated here.

31. To begin with, complainant has claimed in his complaint that friendly loan was advanced to the accused in February 2013. While, in his evidence by way of affidavit, the complainant has affirmed that friendly loan was given in February 2014, in his cross examination when questioned about the date of advancing loan, complainant has deposed that he does not remember the date when the loan was given, but it was in the year 2013. The complainant therefore not only failed to enumerate the exact date of advancing the loan, he made contrary claims on oath as to the month or even the year of advancing loan to the accused. Further, the complainant has failed to enumerate the time or the place when such loan was advanced to the accused in her entire complaint. He has claimed that he gave the loan amount in cash. He has admittedly not filed any document disclosing the loan advanced by him nor filed any receipt on record. It seems rather difficult to believe that complainant would give a huge amount of Rs 2,00,000/- to the accused in cash upon her mere asking and CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 18 of 25 would not even take any receipt or acknowledgment of the same. Further, no other witness to the above transaction of loan has been examined by the complainant. The complainant further admitted in his cross examination that he did not disclose the loan transaction in his Income Tax Returns filed by him. Although non-disclosure of the loan transaction in Income Tax Return would not affect the validity of the transaction, however, the same becomes material fact as it raises suspicion about the very existence of legal liability of the accused towards the complainant. It is further pertinent to note that the complainant has admitted giving friendly loan to many other people in his cross examination, including the son of the accused. He has also admitted filing similar cases against them. He has admitted not possessing any license of money lending and has not disclosed any of the loan transactions in his Income Tax Returns. The complainant when confronted with the question of

advancing friendly loan to multiple persons and filing similar cases against them, failed to provide any explanation for his conduct.

32. Considering the above discussion, it can be concluded that through the cross examination of the complainant, accused has been successful in puncturing holes in the cases of the complainant and has been successful in rebutting the presumption of liability under section 139 of the act.

33. Accused has also adduced evidence by examining herself in her defence. In her defence, the accused inter alia has relied upon letters Ex DW1/1, DW1/3 and DW1/5, purportedly written by her and addressed to the complainant as proof of misuse of CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 19 of 25 cheque by the complainant and the demand raised by accused to return the cheque in question. All the letters cited above purportedly written by the accused to the complainant mentions that the cheque was given as security and the complainant is liable to return them. As per the record, DW1/5 does not bear the correct address of the complainant. Further, all the letters were written in the year 2016-2017, however the present complaint has been filed in October 2014 and the service of summons were affected upon accused in February 2015. It is apparent from the record that the letters mentioned above were written much after the filing of present complaint and after the service of summons of court upon the accused. As such, the letters are of no avail to the accused. However, standard of proof upon the accused is only that of preponderance of probabilities and the same has been discharged through the cross examination of the complainant.

34. Considering the above discussion, it is held that the accused has been successful in rebutting the presumption of legal liability. On the other hand, the complainant has failed to prove the existence of legal liability. No proof in the form of oral or documentary evidence has been brought forth by the complainant to disclose the existence of legal liability and the advancement of friendly loan by him. Mere bald assertion that too based upon contradictory claim, devoid of any particular detail and unsupported by any documentary evidence is not sufficient to prove the existence of legal liability.

35. Another defence taken by accused is that she did not receive the legal demand notice from the accused. She stated that CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 20 of 25 the address on the face of legal demand notice is her former address, however no notice was received by her as the same was never delivered to her. The legal demand notice Ex CW1/D has been addressed to Smt. Bharti Sharma W/O SH. Vinay Sharma R/O C-91, 1st Floor, Phase-1, Ashok Vihar, Delhi-52. It is pertinent to note that the same address has been mentioned in the memo of parties filed in the present complaint and the complainant was initially served summons of the court upon the same address as mentioned above. However, the postal receipts EX CW1/E and Ex CW-1/F bears the details of addressee as Bharti Sharma, F-91, Ashok Vihar H.O, PIN 110052. The tracking report placed on record i.e., EX CW1/G pertains to the delivery of registered post and the same shows the entry 'article delivered' on 15/09/2014 at Ashok Vihar HO. Ex CW1/G bears the same receipt number as specified in EX CW1/E implying that the delivery was done upon the wrong address as mentioned in the receipt EX CW1/E. The complainant in his evidence has deposed that legal demand notice was sent through Registered post and speed post and the receipts EX CW1/E and CW1/F has been placed upon record by the complainant as proof of delivery. It is amply clear from the documents placed on record that the legal demand notice has been sent upon the wrong address

mentioning incorrect house number. The complainant has not claimed the delivery of notice through any other mode. As the legal demand notice has not been sent to the correct address pertaining to the accused, a presumption of receipt of same cannot be raised in favour of complainant under Section 27 of the G.C. Act and Section 14 of the Evidence Act.

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36. It is argued on behalf of complainant that since the accused failed to make payment upon receipt of summons from the court, the accused cannot contend non service of notice. The Hon'ble Supreme Court in C.C Alvi Haji Vs. Palapetty Muhammed and another (2007) 6 SCC 555 has held as under:-

"Any drawer who claims that he did not receive the notice sent by post, can, within 15 days of receipt of summons from the Court in respect of the complaint under Section 138 of the Act, make payment of the cheque amount and submit to the Court that he had made payment within 15 days of receipt of summons (by receiving a copy of complaint with the summons) and, therefore, the complaint is liable to be rejected. A person who does not pay within 15 days of receipt of the summons from the Court alongwith the copy of the complaint under Section 138 of the Act, cannot obviously contend that there was no proper service of notice as required under Section 138, by ignoring statutory presumption to the contrary under Section 27 of the G.C. Act, and Section 14 of the Evidence Act. In our view, any other interpretation of the proviso would defeat the very object of the legislation."

37. Considering the above legal position expounded by Hon'ble Supreme Court of India, it is clear that the accused has been refrained from contending the issue of service of notice as stipulated under section 138 upon receiving of summons from court and subsequent non-payment of amount towards cheque but the ambit of the same includes only those cases where the statutory presumption under Section 27 of the G.C. Act, and Section 14 of the Evidence Act has been raised. In the present case as the notice was not correctly addressed, the statutory CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 22 of 25 presumption under Section 27 of the G.C. Act, and Section 14 of the Evidence Act could not be raised against the accused.

38. Further, the Hon'ble Supreme Court of India in Harman Electronics Private Limited and another vs. National Panasonic India Private Ltd, (2009) 1 SCC 720, has observed as under:

"13. It is one thing to say that sending of a notice is one of the ingredients for maintaining the complaint but it is another thing to say that dishonour of a cheque by itself constitutes an offence. For the purpose of proving its case that the accused had committed an offence under Section 138 of the Negotiable Instruments Act, the ingredients thereof are required to be proved. What would constitute an offence is stated in the main provision. The proviso appended thereto, however, imposes certain further conditions which are required to be fulfilled before cognizance of the offence can be taken. If the ingredients for constitution of the offence laid down in provisos (a), (b) and (c) appended to Section 138 of the Negotiable Instruments Act

are intended to be applied in favour of the accused, there cannot be any doubt that receipt of a notice would ultimately give rise to the cause of action for filing a complaint. As it is only on receipt of the notice that the accused at his own peril may refuse to pay the amount. Clauses (b) and (c) of the proviso to Section 138 therefore must be read together. Issuance of notice would not by itself give rise to a cause of action but communication of the notice would."

39. In the present case, it is apparent that the notice was issued but never communicated to the accused as the same never reached on the correct postal address of the accused. Therefore, the cause of action to file the complaint did not arise in the present case.

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40. During his cross examination, when the complainant was asked about the discrepancy in the address mentioned in the postal receipts Ex CW1/E and CW1/F, the complainant failed to explain the discrepancy and evaded the question by stating that he has not brought his spectacles and therefore is unable to read the address on the receipts placed on record. He maintained that he had sent the notice mentioning the correct particulars without adducing any further explanation to the documents evidencing contrary to his claim.

41. Also, the complainant in his evidence has claimed that he had received reply of legal notice from the accused and the reply was based on false and frivolous grounds. In his cross examination, he has contradicted himself by saying that no reply has been received by him from the accused. The complainant has admitted in his cross examination that the contents of his evidence affidavit had been read to him and same contained true account of events and even then, he had taken contradictory stand in his own testimony. Be that as it may, no reply to the legal notice has been placed on record by the complainant. The factum of receiving of reply assumes importance as the same ipso facto proves the service of legal notice upon the accused. However, Contradictory claims in the testimony of the complainant have cast doubt upon the entire story put forth by the complainant.

CONCLUSION

42. From the above discussion, it can be concluded that the complainant has failed to prove that the existence of legal CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 24 of 25 liability as well as service of legal demand notice upon the accused within the stipulated time. The complainant has failed to establish the necessary pre-conditions for binding the liability of accused for offence punishable under section 138 NI Act.

43. Consequently, this court finds the accused Bharti Sharma w/o Vinay Sharma not guilty of the offence under Section 138, Negotiable Instruments Act, 1881 and acquits her accordingly. Announced in open court on 04.01.2024 (Shivangi Vyas) MM (NI Act), North West Rohini CC No. 17608/16 Amit Choudhary Vs. Bharti Sharma 25 of 25